

& Gamble's decision to reduce its coupon distribution from 1990 to 1996. The study looked across 24 categories at the effects of the company's 20.7 percent increase in advertising, 15.7 percent decrease in trade deals, and 54.3 percent decrease in coupons. Proctor & Gamble's net prices also rose 20.4 percent during this same seven-year period.

What were the results of this experiment? Proctor & Gamble lost roughly 18 percent in marketing share. The study concluded that promotion (rather than advertising) has a stronger impact on market share for the average Consumer Packaged Goods (CPG) and that decreasing coupon promotions decreases market share without any effect on brand loyalty. In fact, coupon loyalty could be more important than brand loyalty. Toward the end of the study's research period, Proctor & Gamble conducted a well-publicized "zero coupon test" in Upstate New York. Proctor & Gamble discontinued distributing coupons in this area and replaced them with lower prices. The result was a public relations nightmare where consumers boycotted, held public hearings, and petitioned local politicians to take action. The ensuing anti-trust litigation resulted in a \$4.2 million settlement. Tellingly, Proctor & Gamble paid out their portion of the settlement in the form of \$2 coupons.

Cold cereal manufacturers tried a similar tactic with dismal results. According to a 2000 *Food Review* article, coupons have consistently been the predominant promotional strategy used by the Ready To Eat (RTE) cereal industry. In 1993, the redemption rate for RTE cereal coupons was 3.8 percent as compared with 2.2 percent for all grocery coupons. In April 1996, Post slashed prices on its entire product line by 20 percent so it could